

Account.

Are you one of those people who love chatting about stocks at cocktail parties? Do you breathlessly await each new FOMC meeting and Non-Farm Payroll release? Do you pay attention to famous fund managers' appearances on financial TV or in print?

If so, then you are probably, like me, a dopamine fiend.

You need to take steps to protect yourself from, well, yourself. Set up a mad-money account with 3%–5% of your liquid capital. This will allow you to indulge your inner Jim Cramer. If the investments work out, that's great! You are also more likely to let those winners run because it's for fun and not your 401k. If they turn out to be a debacle, it's a terrific lesson that should remind you that trading in and out of stocks is not your forte. Be thankful you didn't lose most of your retirement assets.

Nobel laureate Paul Samuelson once said, "Investing should be more like watching paint dry or watching grass grow. If you want excitement, take \$800 and go to Las Vegas." The cowboy account serves the same function.

In my cowboy account, using 2% of my liquid net worth, I play the dumbest game possible: Market timing with out-of-the-money stock option calls. I have made some fortuitously timed buys, including the Nasdaq 100 (QQQ) into a deep sell-off, and some really bone-headed ones, like buying Silicon Valley Bank (SVB) after it got cut in half—but right before it went to zero. I was up so much on the QQQs trade (purchased during the October 2022 lows) that my trading demons were emboldened. The SVB loss was a reminder of my own arrogance—it served me right.

Regardless of the results, it allows my inner junkie to leave my main portfolio alone. That is the true value of the cowboy account—my real money remains unmolested by me and my big dumb lizard brain.



What do you do when you are sitting on a giant winner in an individual